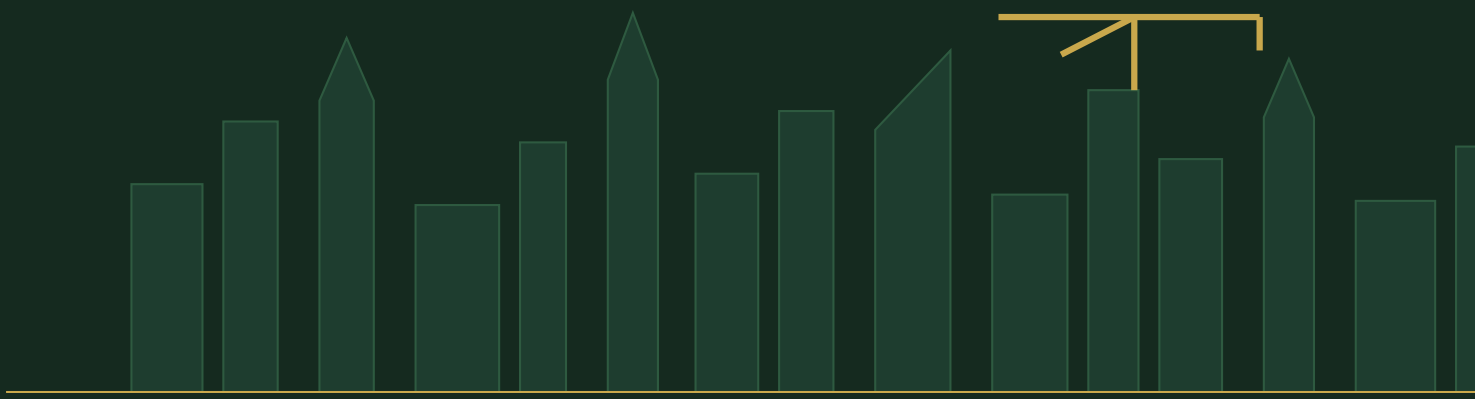


THE HONEST GUIDE

Off-Plan Property in the UAE

Buying property in Dubai & Abu Dhabi before it's built - explained properly, for people who don't live here.

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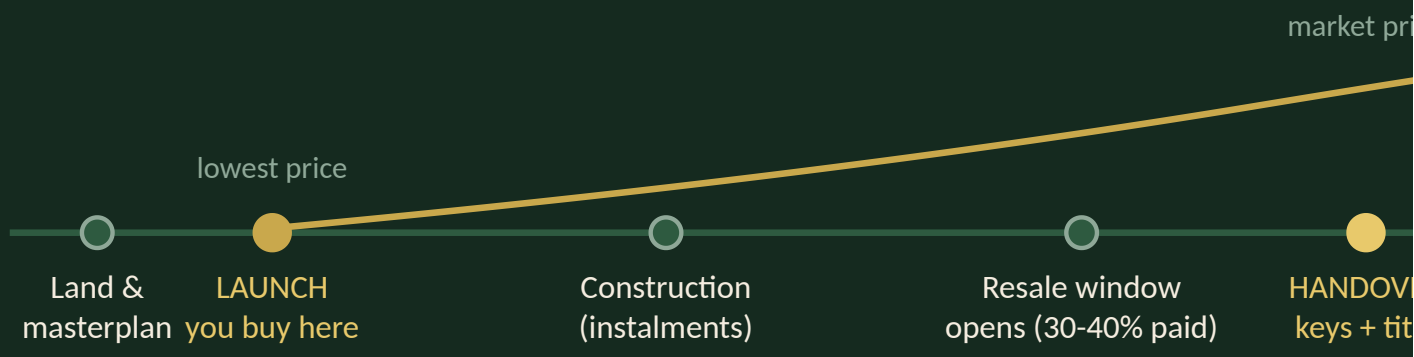
Written by Calum MacLeod · White & Co, Dubai
Off-plan specialist · Invested in what I recommend - my own purchase is in Chapter Ten

Prices in UAE Dirhams (Đ) and Pounds (£) at ~£1 = Đ4.9, indicative.
Market information, not financial advice.

CHAPTER ONE

What Off-Plan Actually Is

Off-plan means buying directly from the developer before, or while, the property is built. You choose a specific unit from the plan, sign a purchase agreement, and pay in instalments tied to construction - keys usually two to four years later. Here's the whole life of a project, and where you enter it:



Why anyone buys a building that doesn't exist

- **Price:** launches are priced below expected completed value - it funds construction and pays you for waiting. That gap is the core opportunity.
- **Instalments, not a mortgage:** 10-20% at booking, the rest spread across the build. Many buyers own outright without ever borrowing.
- **First choice of stock:** early buyers take the corner plots, park views and high floors - units that carry a premium forever.
- **Currency, for UK buyers:** the dirham is pegged to the US dollar - your asset sits in a dollar-linked currency.

One line: off-plan trades time for price. You commit early and wait; in exchange you enter below the finished market with payments spread out. Everything else is detail - important detail, which is what the next twelve pages are.

CHAPTER TWO

Why the UAE Does This Better Than Anywhere

"Buying something that doesn't exist yet, abroad" sounds terrifying - fair instinct. It's why the UAE built one of the world's strictest off-plan frameworks after 2008 exposed every weakness. The protections:

ESCROW

YOUR MONEY SITS IN A GOVERNMENT-MONITORED ACCOUNT - DEVELOPERS DRAW IT ONLY AS CONSTRUCTION MILESTONES ARE CERTIFIED

REGISTERED

PROJECTS APPROVED BY THE REGULATOR BEFORE LAUNCH; YOUR UNIT REGISTERED IN YOUR NAME FROM DAY ONE (OQOOD)

REFUNDS

CANCELLED PROJECT? THE REGULATOR - NOT THE DEVELOPER - OVERSEES REFUNDS FROM ESCROW

FREEHOLD

FOREIGNERS OWN OUTRIGHT, FOREVER, IN DESIGNATED ZONES - NO LOCAL PARTNER, NO LEASEHOLD GAMES

The ownership economics

0%

ANNUAL PROPERTY TAX

0%

CAPITAL GAINS TAX

0%

TAX ON RENTAL INCOME (UAE SIDE)

ONE-TIME

REGISTRATION FEE AT PURCHASE - 4% DUBAI / 2% ABU DHABI

For UK buyers used to stamp duty bands, Section 24 and CGT - this is a different planet. Your home-country tax position still needs its own advice; the UAE side is genuinely this clean.

Regulatory detail simplified for clarity, current at time of writing; specifics confirmed per-project before you commit to anything.

CHAPTER THREE

How the Money Actually Works

Anatomy of a payment plan - worked on Đ3,000,000 (~£610K)

STAGE	TYPICAL %	ON Đ3M	~£
Booking / down payment	10-20%	Đ300,000-600,000	£61,000-122,000
During construction (2-4 yrs of instalments)	30-50%	Đ900,000-1,500,000	£184,000-306,000
On handover (keys)	40-60%	Đ1,200,000-1,800,000	£245,000-367,000

Plans are quoted "20/80", "60/40" - construction share / handover share. Some developers offer **post-handover plans**: instalments continue 2-5 years AFTER keys, often while the property earns rent - powerful, and priced in.

The real day-one number: booking % + registration fee (**4% Dubai / 2% Abu Dhabi**) + small admin. Đ3M in Dubai at 20% booking: Đ600,000 + Đ120,000 + ~Đ5,000 = **~Đ725,000 (~£148,000) to open the door.** Anyone quoting only the booking percentage is selling, not advising.

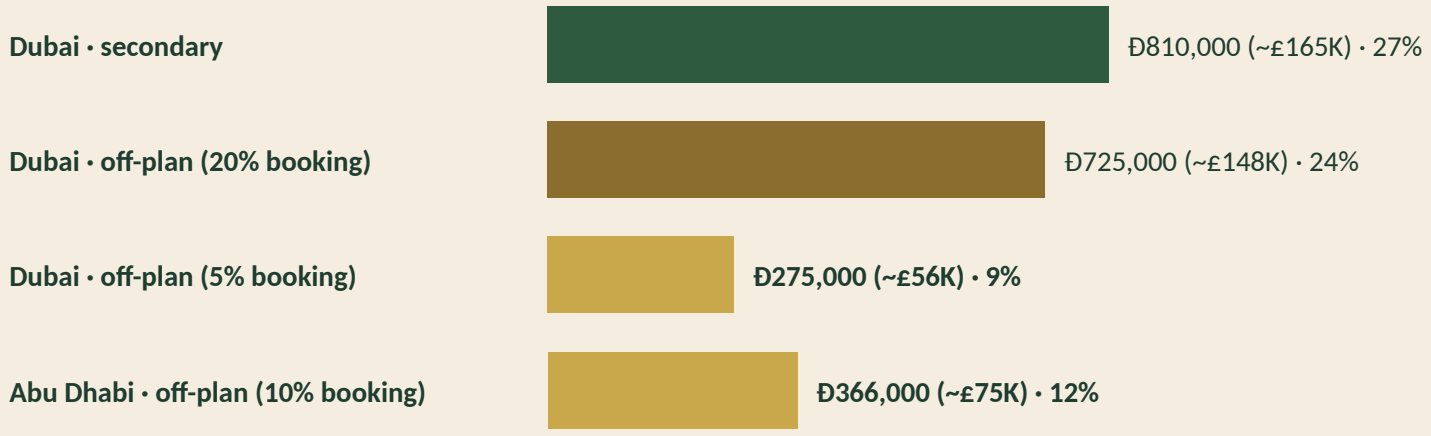
Fees, complete

- **Broker fee on off-plan: usually nothing to you.** Developers pay the brokerage - my advice, launch access and negotiation cost you zero. (Secondary/resale differs: typically 2% buyer-side.)
- **Registration:** the 4% / 2% - one-time, never annual.
- **After handover:** service charges - indicatively Đ10-30/sqft/year on apartments, lower rates on villas.

Off-Plan vs Secondary - The Cash Truth

The most under-explained advantage: **how much less cash off-plan needs on day one.** Buying a completed (secondary) property means a mortgage deposit of at least 20% - fine, that's equity - PLUS ~7% of dead fees in Dubai (4% registration + 2% agency + misc) or ~5% in Abu Dhabi (2% + 2% + misc). Off-plan flips the maths: booking payments start as low as 5-10%, no agency fee, and the registration fee is the only addition.

Day-one cash on a Đ3M (~£610K) purchase



Secondary bar = 20% deposit + ~7% fees (Dubai) - the deposit becomes equity, the fees are gone forever.

Read the gold bars: a 5% launch plan in Dubai opens the same Đ3M asset for roughly **a third of the cash** a secondary purchase demands on day one - Đ275K vs Đ810K. That difference is capital you still hold: for the next instalment, the next purchase, or your life. It's also why off-plan returns on CASH INVESTED can be multiples of the headline price growth - Chapter Seven shows that engine.

CHAPTER FOUR

What Your Budget Buys

Three brackets, both cities, round numbers - indicative entry levels for new launches at time of writing. Matching a real project to your bracket is what the call at the end is for.

Up to Đ3M (~£610K)

WHAT	WHERE	INDICATIVE ENTRY
1-2 bed apartments, strong communities	Dubai masterplans, waterfront edges	Đ1.2-3M / £245-610K
1-2 bed apartments, island communities	Abu Dhabi - Reem, Yas, new districts	Đ1-2.5M / £205-510K
Townhouses, emerging communities	Both cities, further out	Đ2-3M / £410-610K

Đ3M - Đ10M (~£610K - £2.0M)

3-4 bed townhouses & villas, prime masterplans	Dubai lagoon, golf & park communities	Đ3-8M / £610K-1.6M
Premium & branded apartments, penthouses	Both - waterfront, branded towers	Đ3-10M / £610K-2.0M
Island villas	Abu Dhabi - Yas, Hudayriyat, Saadiyat orbit	Đ4-10M / £815K-2.0M

Đ10M - Đ25M (~£2.0M - £5.1M)

Signature villas - golf, park & water frontage	Dubai's new premium districts	Đ10-25M / £2.0-5.1M
Branded residences & mansion plots	Both - operator-branded, low-density islands	Đ12-25M+ / £2.4-5.1M+

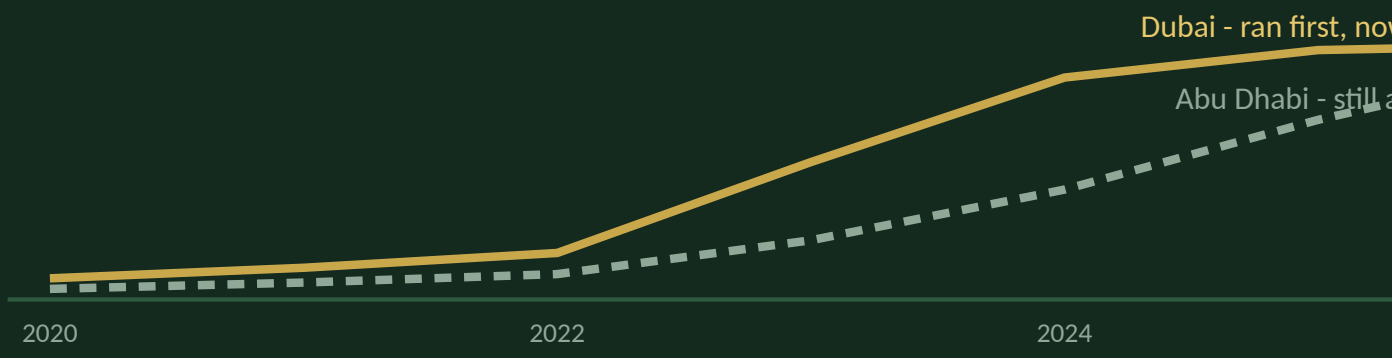
The Golden Visa: property worth Đ2M+ (~£410K+) qualifies you for a renewable 10-year UAE residency visa. **In Dubai, off-plan qualifies from purchase** - buy at launch, apply. In Abu Dhabi the rules currently require the qualifying capital to be paid in. Conditions apply either way - but for many UK buyers this turns a purchase into an option on a whole second life.

CHAPTER FIVE

Dubai or Abu Dhabi - The Honest Answer

Most guides won't pick a side. I will, because the numbers do - then I'll tell you why the answer still depends on you.

+17.8%	+24%	84%	~2x
ABU DHABI VALUES, PAST YEAR	AD APARTMENTS, PAST YEAR	OF AD SALES ARE OFF-PLAN	DUBAI'S RISE FROM ITS 2020 LOW



The case the numbers make

Dubai ran first and hard - roughly doubling from the 2020 trough, now digesting that run with growth flattened to single digits. Abu Dhabi started later and is still accelerating: +17.8% in a year, apartments +24%, and the capital's leading researchers on record that it **sits earlier in its property cycle than Dubai**. When 84% of a market's sales are off-plan, its buyers have voted where the value is. **On today's numbers, for pure capital growth, the capital is the stronger entry.**

Why Dubai still wins for many buyers

Deeper market, more liquidity when you exit, the global brand, the bigger rental pool - and the place most buyers actually want to LIVE or holiday. If the purchase is partly a life decision, Dubai's ecosystem is unmatched. Growth rotates; liquidity is structural.

My framing: pure investor, 3-7 year horizon - weight toward Abu Dhabi. A base you'll use, or a first purchase with an eye on living here - Dubai, and buy the community, not the brochure. Many of my buyers now do one of each.

Figures: ValuStrat Q2-26, DLD data - refreshed on our call

CHAPTER SIX

The Process, Start to Keys

You don't need to live here. You don't need to visit (it helps). You don't need a UAE bank account to start.

1. **Define the brief (one call).** Budget, purpose, cities, timeline - and I match it to launches actually worth your money.
2. **Shortlist & evidence.** Real numbers per option: pricing, payment plan, developer track record, area transaction data. Video walkthroughs if you're remote.
3. **Register interest (EOI).** For hot launches a refundable deposit (Đ20-100K) queues you for allocation - fully refundable, and it's how you get the good units.
4. **Allocation & booking.** Launch day: specific units offered. We decided your criteria in advance, so you decide fast. Booking paid, reservation signed.
5. **SPA - the contract.** Everything in it: plan, dates, specs, penalties both ways. Signable electronically from anywhere.
6. **Registration.** Purchase registered with the government in your name (Oqood in Dubai). Registration fee paid. You legally hold the unit.
7. **Pay & track.** Instalments into escrow; I send construction updates. Your building grows while you're on the sofa in Surrey.
8. **Snagging & handover.** Professional inspection (arranged if you're abroad), defects fixed, final payment, keys, title. Then furnish it, rent it, or move in.

Documents needed to buy: your passport. That's nearly it. No visa required to own. Power of attorney covers anything needing an in-person signature.

CHAPTER SEVEN

The Exits - Four Ways Out (Or Onward)

A purchase without an exit plan is a hope. Off-plan gives you four, and the timing changes the maths dramatically:

1. **Sell before handover.** Once typically 30-40% is paid (developer NOC required, small fee), you can sell the contract on. Because you've only deployed part of the price, price growth is amplified on your cash - this is where the "doubled their money" stories genuinely come from. If prices rise 20% while you've paid in 30%, the return on your cash is ~60%+ before costs.
2. **Sell at handover.** The classic maximum-ROE exit: you sell as keys arrive, never paying the final instalment (often the largest, 40-60%). Full price growth, captured on the partial capital you actually deployed.
3. **Keep and rent.** Take keys, let it - long-term or short-let. UAE gross yields have historically run well above UK city norms, untaxed on the UAE side.
4. **Keep, mortgage, extract.** At handover, banks lend against COMPLETED value. If the property has grown through the build, a mortgage can release much of your original cash - you keep the asset, redeploy the capital. This is how one purchase becomes a ladder.

A real one, from the public record

A villa in DAMAC Lagoons, Dubai: bought at launch in May 2022 for **Đ4,736,000**, resold in March 2026 for **Đ7,250,000** - **+53% on price** in under four years (Dubai Land Department records). And because the buyer was on a 50/50 plan, for most of that period only half his money was in the property - the return on cash actually deployed ran far ahead of the headline. That's the off-plan engine: staged capital, full-price growth.

Illustrations of mechanics, not promises - prices move both ways, costs apply to every exit, and Chapter Eight is next for a reason.

CHAPTER EIGHT

The Risks - Named, Not Hidden

Anyone selling you off-plan without this page is not on your side.

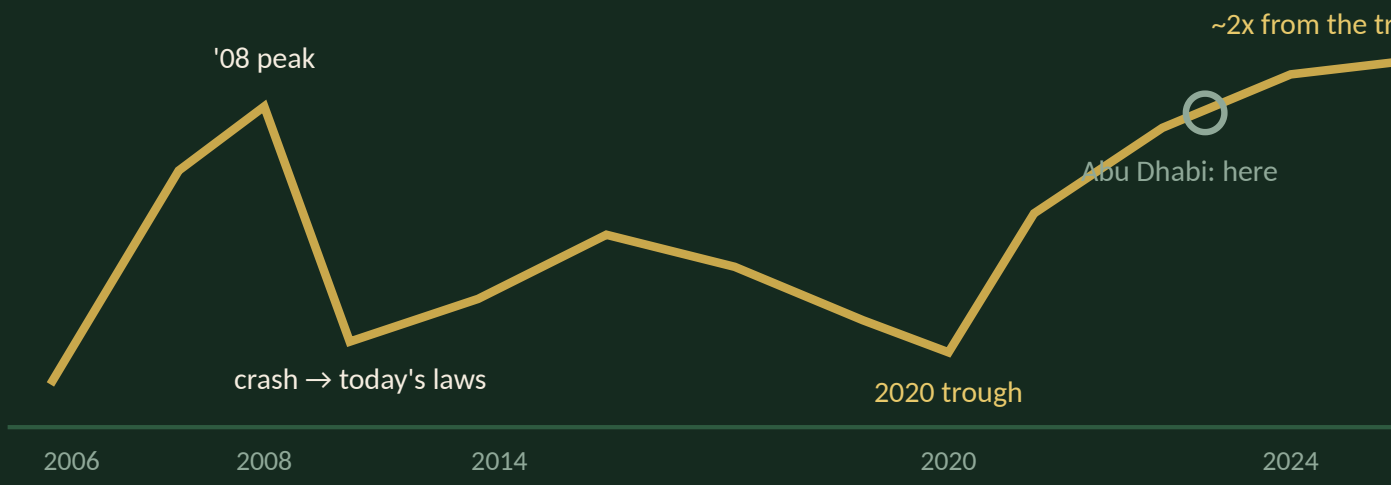
RISK	REALITY	PROTECTION / TACTIC
Delay	Common - months more often than years; contracts include grace periods.	SPA penalties beyond grace; escrow ties money to progress; buy delivery records, not renders.
Cancellation	Rare in the modern framework.	Regulator-supervised escrow refunds; registration rules filter fantasy projects pre-launch.
Market falls mid-build	Possible - cycles are real (next page).	Below-market entry = margin of safety; 5+ year horizon; structural-demand locations; never buy a hype cycle's last phase at a premium.
Quality disappoints	Varies hugely by developer tier.	Track record over brochures; professional snagging before acceptance; defect retention rights.
You need out early	Resale restricted until 30-40% paid.	NOC route (small fee) after threshold; enter with patient money and the exit map from Chapter Seven.
Currency swings (£)	Đ is dollar-pegged; £/$ moves.	Instalments average your entry rate across years - built-in smoothing; forward contracts for larger sums.

The biggest risk isn't on the table: buying the wrong project from the wrong developer because a stranger with a lanyard promised guaranteed returns. There are no guaranteed returns. There are good buildings, good locations, serious developers, fair prices - and everything else. Telling them apart is the entire job.

CHAPTER NINE

Cycles - The Only Chart That Matters

UAE property is cyclical and always has been. Pretending otherwise is how people get hurt; reading the cycle is how people get wealthy. The last two decades, in one picture:



What the shape teaches

- **Entry point beats almost everything.** Today's "geniuses" mostly just bought when others hesitated.
- **The two cities rotate** - Dubai leads, the capital follows with a lag. That's why Chapter Five's answer changes over time, and why serious UAE investors end up owning across both.
- **Hold horizons beat timing.** Nobody rings a bell at the bottom; 5-10 year horizons have historically forgiven imperfect timing.
- **Off-plan is a cycle instrument:** you commit at today's sentiment and receive at tomorrow's. Powerful entering hesitation; dangerous entering euphoria.

Where we are as I write: Dubai high on its curve and flattening; Abu Dhabi visibly behind it and climbing - the markers on the chart. On our call I'll put the live version on screen with current transaction data, because this picture moves and your entry deserves the current frame.

CHAPTER TEN

My Own Money - The Actual Numbers

Everything in this guide, I've done with my own capital. Here is my current off-plan purchase, real numbers, so you can see the framework applied - and judge whether I eat my own cooking.

The purchase

WHAT	DETAIL
Property	2-bedroom apartment, Tara Park - Reem Island, Abu Dhabi (Modon)
Why there	The capital, earlier in its cycle · Reem apartments +22% in the past year · island facing a Đ60bn financial-district expansion
Price	Đ2,386,000 (~£487,000) · ~1,303 sqft · Đ1,832/sqft
Payment plan	5% instalments through construction (40% total) + 60% on handover, anticipated 2030
Cash to open	First 5% + 2% registration ≈ **Đ167,000 (~£34,000)** - on a half-million-pound asset
Deployed by handover	Đ954,400 (~£195,000) - 40%, spread over ~4 years

The plan

Hold through handover, short-let it on the island, and let the build-out compound. If Reem does even HALF its current annual pace between now and keys, the unit sits comfortably above entry with only 40% of my money in - and the exit map from Chapter Seven stays open the whole way: the pre-handover sale, the handover sale, or the mortgage-and-keep. I bought the framework in this guide. Literally.

Why I'm showing you this: not because my deal is your deal - your brief will be different. Because you should never take off-plan advice from someone who hasn't signed an SPA with their own name on it. I have. Judge my incentives, then check my numbers - they're all above.

CHAPTER ELEVEN

Why Listen To Me

I'm Calum MacLeod - Scottish, six years in Dubai, off-plan and secondary specialist and **one of the top-performing brokers at White & Co**, one of Dubai's largest independent brokerages. Over **Đ100 million (~£20M) in property transacted in my first year** - and I publish the receipts behind this market daily to the audience that probably brought you to this guide.

How I work with remote buyers

- Everything over video and WhatsApp - brief, shortlists, site walkthroughs, launch day, signing. Most of my UK buyers never fly out before handover.
- **You pay me nothing on off-plan** - developers pay the brokerage. My incentive is the relationship and your next purchase, which only happens if the first one was right.
- I'll tell you not to buy. Some briefs should wait, some budgets fit nothing worth owning, some "opportunities" are marketing. Hearing that costs you one call.

My own targets are on the wall and my own money is on the line (Chapter Ten). I work with a small number of serious buyers properly rather than a large number badly - which is exactly why the next page is one ask, not ten.

THE NEXT STEP

One Call. Real Numbers. No Pressure.

Fifteen minutes on video or phone. You bring your budget and what you're trying to achieve; I bring live pricing, launch access, and the current cycle chart - and I'll tell you honestly whether now, later, or not-this is your answer.

◆

Message me and say you'd like a call.

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Instagram: **@thecalummacleod**

Calum MacLeod · White & Co · Dubai

General market information prepared in good faith - not financial, tax or investment advice. Figures indicative at time of writing, confirmed per-project. Your capital is at risk in any property purchase; take independent advice on your home-country tax position.